computing unit or mainframe of a computer to increase the user's benefits from that central unit. High-speed printers, extra memory units, and keyboard devices to eliminate the need for keypunch oper-ators in getting data into a computer were some of the major products in this group. The prevailing image then was that these companies had an almost limitless future. While the central computer itself was largely developed and its market would be dominated by a few strong, estab-lished companies, the small independent would be able to undercut the big companies in these peripheral areas. Today there is a new awareness of the financial strain on small companies with products that are usually leased rather than sold and of the determination of the major com-puter mainframe manufacturers to fight for the market of the products “hung on” their equipment. Have the fundamentals changed or is it the appraisal of the fundamentals that has changed?

An extreme case of a changed appraisal is the way in which the financial community looked on the fundamentals of the franchising business and franchise stocks in 1969 in contrast to 1972. Here again, as with computer peripheral stocks, all the problems of the industry were inherently there when these stocks were being bought at such high price-earnings ratios but were being overlooked when the prevailing image was one of uninterrupted growth for the company momentarily doing well.

In this whole matter of industry image, the investor's problem is always the same. Is the current prevailing appraisal one more favorable, less favorable, or about the same as that warranted by the basic economic facts? At times this can present an acute problem to even the most sophisticated investors. One example occurred in December 1958 when Smith, Barney & Co., traditionally conservative investment bankers, took a pioneering step that seems purely routine today but appeared quite the contrary at that time: They made a public offering of the equity shares of the A. C. Nielsen Co. This company had no factories, no tangible product, and therefore no inventories. Instead it was in the “service business,” receiving fees for supplying market-research information to its customers. It was true that in 1958 banks and insurance companies had long been well regarded in the marketplace as industries worthy of conservative investment. However, such industries were hardly comparable. Since the book value of a bank or insurance company is in cash, liquid investments or accounts receivable, the